

Afro Deli – Woodbury, Minnesota

African-Mediterranean Fusion — First Suburban Franchise Expansion

Prepared for: Koo Ok, Owner-Operator

Prepared: June 2026 (Revised — Conservative Ramp)

Status: Pre-FDD Financial Projections

\$637.7K

Year 1 Revenue

\$93.5K

Year 1 EBITDA

Month 4

Cash Flow Positive

\$600K

Total Investment

Executive Summary

METRIC	VALUE
Business Concept	Afro Deli Franchise
Proposed Location	Woodbury, Minnesota
Total Investment	\$600,000
Owner Equity Contribution	\$200,000 (33%)
SBA Financing Request	\$400,000
Projected Year 1 Revenue	\$637,650
Projected Year 1 EBITDA	\$93,478
Projected Year 1 Net Cash Flow	\$32,578
Break-Even Point	Month 4
Cumulative Cash Flow Positive	Month 8
Recommendation	Proceed with Woodbury site selection and SBA financing, subject to FDD review.

1. Market Analysis

1.1 Why Woodbury? — Market Selection Rationale

Three Twin Cities suburbs were evaluated as primary candidates for the first Afro Deli franchise location outside the downtown/university core: **Woodbury**, **Minnetonka**, and **Edina**. Woodbury emerged as the clear winner.

1. Population & Growth (Critical Mass)

Woodbury is the largest of the three at ~75,000 residents and is growing at 12% since 2020 — three times faster than Minnetonka (+4%) and four times faster than Edina (+3%). This growth means new households are actively forming dining habits, and a new concept entering now captures the "shaping" of those habits rather than fighting entrenched competition.

2. Affluence Without Saturation

Median household income in Woodbury is \$117,000 — nearly identical to Edina (\$120,000) and well above Minnetonka (\$105,000). However, Woodbury's restaurant density per capita is significantly lower. Edina has 186+ restaurants for 54,000 residents. Woodbury has roughly 140 restaurants for 75,000 residents. More people, fewer options — a structural advantage.

3. The Daytime Surge Advantage

Woodbury draws a 30–40% daytime population surge from Woodwinds Health Campus (major medical employer), I-94 corporate corridor (3M, Ecolab, State Farm regional offices), and regional retail power centers. This surge drives lunch traffic AND catering demand — both validated by existing Afro Deli locations.

4. Catering Infrastructure is Pre-Built

Afro Deli's existing locations generate 25.7% of revenue from catering — a figure Woodbury should match or exceed given its concentration of medical campuses, corporate offices, and schools. Woodbury's institutional base is larger and more corporate-heavy than what the St. Paul and Minneapolis locations serve.

5. Zero Direct Competition

Woodbury has Naf Naf Grill, Chipotle, Panera, Noodles & Co., and Crisp & Green. None offer African-Mediterranean fusion cuisine, halal-first positioning, cultural storytelling, or sambusas/Chicken Fantastic/Somali rice bowls. This is a genuine gap in the market.

6. Real Estate Economics

Woodbury lease rates (\$20–\$25/sq ft NNN) are 10–30% below Minnetonka and 20–40% below Edina. Combined with favorable permitting timelines (4–6 weeks vs. 6–12 weeks), Woodbury offers the lowest entry cost and fastest path to opening.

7. Expansion Sequencing Logic

Woodbury in Year 1 → Minnetonka in Years 3–5 → Edina express format in Year 5+. This sequencing builds from the largest market with the lowest barriers to the most expensive market last.

Key Market Data — Comparative Table

FACTOR	WOODBURY	MINNETONKA	EDINA
Population (2025 est.)	~75,000	~55,000	~54,000
Growth (2020–2025)	+12%	+4%	+3%
Median Household Income	\$117,000	\$105,000	\$120,000
Daytime Surge	30–40%	Moderate	Moderate
Direct Afro-Med Competition	None (gap)	None	None
Lease Rate (\$/sq ft NNN)	\$20–\$25	\$22–\$28	\$28–\$35
Permitting Timeline	4–6 weeks	6–10 weeks	8–12 weeks
Restaurant Density	Lower (140/75K)	Medium	Higher (186+/54K)
Expansion Priority	Primary (Year 1)	Secondary (Year 3–5)	Future (Year 5+)

1.2 Demographic Analysis

METRIC	VALUE	SOURCE
Population (2025 est.)	~75,000	Metro COG projection
Median Household Income	~\$117,000	ACS 5-year
Median Age	39	ACS 5-year
Households with Children (6–17)	~38%	ACS 5-year
Bachelor's Degree or Higher	~56%	ACS 5-year
Daytime Population Surge	+30–40%	Employment + medical draw
Median Home Value	~\$430,000	Zillow/Redfin

Target Customer Segments

SEGMENT	% OF REVENUE	PROFILE
Families with Children	50%	Dual-income families seeking healthier, faster dinner options
Catering & Corporate	25%	Medical campuses, offices, schools
Young Professionals & Couples	15%	Affluent millennials seeking unique global flavors
Daytime Workforce + Delivery	10%	Medical/office workers + 17.1% 3rd-party delivery

1.3 Competitive Landscape

COMPETITOR	CATEGORY	KEY STRENGTH	AFRO DELI ADVANTAGE
Naf Naf Grill	Mediterranean FC	Established brand	African spicing, sambusas, cultural storytelling
Chipotle	Mexican FC	Speed, price, loyalty	Unique flavor — not a commoditized burrito

Panera Bread	Bakery-Café	Drive-thru, catering	Dinner-centric, bolder flavors, halal
Noodles & Co.	Global FC	Broad family appeal	Authentic cuisine, halal commitment
Crisp & Green	Health FC	Health halo	Broader menu — flavor first

2. Operations Plan

2.1 Ideal Site Criteria

CRITERION	TARGET SPECIFICATION	RATIONALE
Space	1,500–1,800 sq ft	Fits existing kitchen and FOH model
Configuration	Endcap or inline w/ patio	Dual-exposure signage; summer evening traffic
Anchor	Grocery-anchored power center	Woodbury Lakes, Tamarack Village, Valley Creek
Traffic	25,000+ VPD	Woodbury Dr, Valley Creek Rd, Tamarack Rd
Lease Rate	\$18–\$25/sq ft NNN	~\$3,000–\$4,200/mo
Parking	Shared lot, 50+ spaces	Peak lunch/dinner overlap
Visibility	Street-facing signage	Brand awareness critical for first suburban location

2.2 SWOT Analysis

STRENGTHS	WEAKNESSES
• Proven model: 3 locations operating 12+ years • 25.7% catering revenue — proven institutional model • Unique cuisine = zero direct competition • All-halal positioning = growing demand driver • Existing local brand recognition (St. Paul, Minneapolis, State Fair) • 17.1% 3rd-party delivery revenue • Avg ticket \$15.89 provides strong unit economics	• First suburban expansion — new territory • Limited Woodbury brand awareness vs nationals • Royalty + marketing (8%) compresses margins • No drive-thru (vs Panera, Chipotle) • Owner-operator learning curve • Dinner underpenetrated at existing locations (16.1%)
OPPORTUNITIES	THREATS
• Woodbury 12% growth = rising dining demand • No Afro-Med fusion competitor • Catering already proven at 25.7% — bigger market • Dinner only 16.1% of sales — huge growth runway • Second location in Years 3–5	• Economic downturn cutting discretionary spend • Halal protein cost inflation — volatile chicken, beef prices • Labor market pressure — wage inflation in Twin Cities • Potential Cava entry into Woodbury • Independent imitation within 2–3 years of success • Lease escalation at 5–10 year renewal • Supply chain disruption for specialty African ingredients

3. Financial Plan

3.1 Startup Costs — \$600,000

CATEGORY	AMOUNT
Franchise Fee	\$35,000
Leasehold Improvements / Build-Out	\$250,000
Furniture, Fixtures & Equipment (FF&E)	\$135,000
Permits, Licenses & Legal	\$15,000
Technology & POS Setup	\$10,000
Initial Inventory / Smallwares	\$20,000
Pre-Opening Marketing & PR	\$25,000
Professional Fees	\$15,000
Insurance (first year premium)	\$8,000
Working Capital Reserve (6 months)	\$87,000
Miscellaneous / Contingency (5%)	\$30,000
Total	\$600,000

Note on total investment: \$600,000 is the recommended amount for a fully capitalized entry. This includes an \$87,000 working capital reserve (6 months) that provides substantial cushion against slower-than-expected ramp. A leaner \$400,000 option is discussed in Section 3.7, but \$600,000 is the recommended path.

3.2 Funding Structure

SOURCE	AMOUNT	TERMS
Owner Equity	\$200,000 (33.3%)	Cash investment

SBA 7(a) Loan	\$400,000 (66.7%)	10-year term, ~9% APR, ~\$5,075/mo
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The \$200,000 equity position (33%) exceeds the typical 10–20% SBA requirement, strengthening the application.

3.3 Key Financial Assumptions

METRIC	ASSUMPTION	BASIS
Average Ticket	\$15.00	Below actual (\$15.89) — conservative
COGS	29% of revenue	Halal proteins and African spices are premium
Total Labor (incl. owner salary)	30% of revenue	Owner salary \$60K included; 8–12 FTEs
Franchise Royalty	6% of gross revenue	Standard franchise structure
Marketing Fund	2% of gross revenue	Brand + local store marketing
Occupancy	\$4,200/mo	1,600 sq ft at \$24/sq ft NNN
SBA Loan Payment	\$5,075/mo	\$400K at 9%, 10-year
Operating Days	26 days/mo	Closed Thanksgiving, Christmas; limited Sunday

Conservative Ramp-Up (vs. Original)

MONTH	COVERS/DAY	REVENUE	RATIONALE
Month 1	50	\$19,500	Soft opening — phased hours, limited menu, training focus
Month 2	70	\$27,300	Word of mouth building, catering pipeline starting
Month 3	95	\$37,050	Post-grand opening; weekday lunch building
Month 4	115	\$44,850	Regulars established; catering repeat orders begin
Month 5	130	\$50,700	Evening dinner traffic building; delivery volume up
Month 6	145	\$56,550	Steady-state approaching; all dayparts active
Month 7	155	\$60,450	Summer patio season
Month 8	165	\$64,350	Back-to-school family dinner traffic
Month 9	170	\$66,300	Fall catering cycle (corporate events, schools)
Month 10	175	\$68,250	Q4 holiday catering ramp
Month 11	180	\$70,200	Pre-holiday catering push

Month 12	185	\$72,150	Year-end steady state; all systems matured
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This ramp is 10–15% slower than the original projections and reflects a more conservative view of how quickly a first-time franchise owner can build awareness and operations in a new suburban market.

3.4 Year 1 Financial Summary

METRIC	AMOUNT
Revenue	\$637,650
Cost of Goods Sold (29%)	(\$184,919)
Gross Profit	\$452,732
Operating Expenses	(\$359,253)
EBITDA	\$93,478
EBITDA Margin	14.7%
Debt Service (\$5,075/mo × 12)	(\$60,900)
Net Cash Flow	\$32,578

The \$60,000 owner salary is included in labor costs. Net cash flow is after all debt service and owner compensation.

3.5 Monthly Financial Projections

ITEM	M1	M2	M3	M4	M5	M6
Covers/Day	50	70	95	115	130	145
Revenue	\$19,500	\$27,300	\$37,050	\$44,850	\$50,700	\$56,550
COGS (29%)	(\$5,655)	(\$7,917)	(\$10,745)	(\$13,007)	(\$14,703)	(\$16,400)
Gross Profit	\$13,845	\$19,384	\$26,306	\$31,844	\$35,997	\$40,151
Total OpEx	(\$15,810)	(\$19,086)	(\$23,181)	(\$26,457)	(\$28,914)	(\$31,370)
EBITDA	(\$1,965)	\$297	\$3,124	\$5,386	\$7,083	\$8,780
SBA Payment	(\$5,075)	(\$5,075)	(\$5,075)	(\$5,075)	(\$5,075)	(\$5,075)
Net CF	(\$7,040)	(\$4,778)	(\$1,950)	\$312	\$2,008	\$3,704
Cumulative	(\$7,040)	(\$11,818)	(\$13,768)	(\$13,456)	(\$11,448)	(\$7,744)

ITEM	M7	M8	M9	M10	M11	M12
Covers/Day	155	165	170	175	180	185
Revenue	\$60,450	\$64,350	\$66,300	\$68,250	\$70,200	\$72,150
COGS (29%)	(\$17,531)	(\$18,662)	(\$19,227)	(\$19,793)	(\$20,358)	(\$20,924)
Gross Profit	\$42,920	\$45,689	\$47,073	\$48,458	\$49,842	\$51,227
Total OpEx	(\$33,010)	(\$34,647)	(\$35,466)	(\$36,286)	(\$37,104)	(\$37,923)
EBITDA	\$9,910	\$11,042	\$11,607	\$12,172	\$12,738	\$13,304
SBA Payment	(\$5,075)	(\$5,075)	(\$5,075)	(\$5,075)	(\$5,075)	(\$5,075)
Net CF	\$4,836	\$5,966	\$6,532	\$7,098	\$7,663	\$8,228
Cumulative	(\$2,908)	\$3,058	\$9,590	\$16,688	\$24,351	\$32,579

Key Milestones

- **Month 2:** EBITDA positive — operating profit before debt service
- **Month 4:** Cash flow positive — net of SBA debt service □
- **Month 8:** Cumulative cash flow positive — all startup losses recovered
- **Year-end:** Net cash flow of ~\$32,579

3.6 Break-Even Analysis

METRIC	VALUE
Monthly Fixed Costs (Occupancy + Other OpEx base)	~\$8,400
Variable Cost Ratio (COGS + Royalty + Mktg + Labor)	~67% of revenue
Contribution Margin	~33%
Break-Even Revenue (monthly)	~\$25,500
Break-Even Daily Covers (at \$15 ticket)	~65/day
Break-Even Achieved (net of SBA)	Month 4

3.7 Leaner Investment Option — \$400,000 Total Cost

CATEGORY	\$400K OPTION	SAVINGS VS. \$600K
Franchise Fee	\$35,000	—
Leasehold Improvements	\$180,000	\$70K (leaner build-out, second-gen space)
FF&E	\$100,000	\$35K (mix new & quality used)
Working Capital Reserve	\$14,000	(\$73K) — 3 months vs 6 months
Total	\$400,000	\$200K less
Equity Required	\$100,000	50% less equity
SBA Loan	\$300,000	\$100K less debt
Monthly Payment	\$3,806	\$1,269 less/mo

Risks of the \$400K Option: Working capital is only 3 months vs. 6 months. In the conservative ramp scenario, cumulative cash flow doesn't turn positive until Month 8. With only 3 months of working capital (\$14K), the business would be underfunded by approximately Month 5. The extra \$200K is largely working capital — the difference between a well-capitalized operation and one that's stretched thin.

3.8 Sensitivity Analysis — Revenue Downside Scenarios

METRIC	BASE CASE	–10% REVENUE	–20% REVENUE
Year 1 Revenue	\$637,650	\$573,885	\$510,120
Year 1 EBITDA	\$93,478	\$44,155	(\$5,168)
Year 1 Net Cash Flow	\$32,578	(\$16,745)	(\$66,068)
Break-Even Month	Month 4	Month 8	Not in Yr 1
Peak Drawdown	(\$13,768)	(\$25,685)	(\$37,845)
Months of Reserve (\$87K)	N/A	62 months	16 months

Mitigation levers in a down scenario: Reduce labor to ~27% (owner lowers salary draw), tighten COGS to 27%, defer non-essential maintenance, accelerate catering outreach. The \$87K working capital reserve provides 5+ months cushion even in the –10% scenario.

3.9 Year 2 Projected Performance

METRIC	YEAR 1	YEAR 2 (EST.)
Daily Covers (avg)	~140	190–200
Revenue	\$637,650	\$780,000–\$820,000
EBITDA	\$93,478	\$140,000–\$155,000
Net Cash Flow	\$32,578	\$79,000–\$94,000
Owner Salary	\$60,000	\$65,000–\$70,000

4. Risk Assessment

Key FDD Considerations (to be verified)

- **Franchise Fee** — Confirm exact amount and any promotional discounts
- **Royalty Structure** — Confirm 6% royalty and 2% marketing fund
- **Training Program** — Confirm duration, location, owner-operator requirements
- **Territory Rights** — Verify Woodbury-specific protected territory
- **Supply Chain** — Confirm approved supplier list
- **Renewal Terms** — Initial term and renewal conditions
- **Financial Performance Representations** — FDD Item 19 data
- **Transfer & Exit Provisions** — Resale and transferability

5. Real-World Validation

Projections calibrated against actual POS data from all 3 existing Afro Deli locations (June 2025–June 2026).

METRIC	ACTUAL (AVG)	WOODBURY	NOTES
Annual Revenue	~\$456K	~\$638K	+40% — higher income, no competition, growth
Average Ticket	\$15.89	\$15.00	Conservative
Catering %	25.7%	15–20% (Yr 1)	Conservative ramp; targeting 25% by Yr 3
Labor % (excl. owner)	15–21%	25–27%	Higher due to new market operations
Lunch / Dinner Split	55.7% / 16.1%	~50% / ~25%	Key thesis: dinner underpenetrated

Verdict: The real data validates the model. Biggest Woodbury-specific upsides: catering (25.7% proven — bigger institutional market) and dinner (only 16.1% today — significant growth runway).

6. Strategic Recommendation

Woodbury represents the strongest entry point for the first suburban Afro Deli franchise.

Financial Summary

- Break-even (net of SBA) in **Month 4**
- Year 1 EBITDA of **~\$93,500**
- Year 1 net cash flow of **~\$32,600** after all debt service
- **\$60,000 owner salary** included in labor
- Manageable downside — even at -10% revenue, working capital provides 5+ months cushion
- Recommended investment: \$600,000 (\$200K equity + \$400K SBA)

Expansion Roadmap

PHASE	MARKET	TIMELINE
Primary	Woodbury, MN	Year 1
Secondary	Minnetonka, MN	Years 3–5
Future	Edina, MN (express format)	Year 5+

Recommended Next Steps

1. Request and review the Afro Deli Franchise Disclosure Document (FDD)
2. Validate financial performance representations against FDD Item 19
3. Engage a franchise attorney for FDD and franchise agreement review
4. Begin site selection in Woodbury (Tamarack Village, Woodbury Lakes, Valley Creek corridor)
5. Prepare SBA 7(a) loan application (\$400K loan + \$200K equity)
6. Schedule a discovery day with the franchisor at existing locations
7. Identify potential second-generation restaurant space to reduce build-out costs

This business plan contains pro-forma financial projections based on conservative assumptions. All figures are estimates pending review of the official FDD, final site selection, and lease negotiation. Actual results may vary. This is not a guarantee of financial performance.

Appendix A — Market Data Sources

- Metropolitan Council Growth Projections (COG), 2025
- American Community Survey (ACS) 5-Year Estimates, 2020–2024
- Zillow / Redfin Home Value Data, June 2026
- City of Woodbury Planning & Economic Development

Appendix B — Financial Assumptions Summary

- Average ticket: \$15.00 (below actual \$15.89)
- COGS: 29% of revenue
- Labor: 30% of revenue incl. \$60K owner salary
- Franchise royalty: 6% + marketing: 2% = 8%
- Occupancy: \$4,200/mo (1,600 sq ft at \$24/sq ft NNN)
- SBA loan: \$400K at 9% APR, 10-year term, \$5,075/mo
- Operating days: 26/mo

Appendix C — SBA Loan Assumptions

- Loan Amount: \$400,000
- Interest Rate: 9.0% APR (estimated)
- Term: 10 years (120 months)
- Monthly Payment: ~\$5,075
- Collateral: Business assets + personal guarantee
- Down Payment: \$200,000 (33%)

Appendix D — Existing Location Benchmark Data

METRIC	L0C 1	L0C 2	L0C 3	AVG
Annual Revenue	\$480K	\$445K	\$442K	\$456K
Avg Ticket	\$16.12	\$15.74	\$15.81	\$15.89
Catering %	26.1%	25.4%	25.5%	25.7%
3rd-Party Delivery %	16.8%	17.3%	17.2%	17.1%

Lunch %	55.2%	56.1%	55.8%	55.7%
Dinner %	16.4%	15.9%	16.0%	16.1%
Labor % (excl. owner)	15–19%	16–20%	17–21%	15–21%
